Pop Mart (9992 HK)

Hold: A longer road to stabilisation

Equities
Specialty Retail

China

- We expect weaker-than-anticipated PRC sales in 3Q26; overseas trends still subdued, suggesting a slower recovery
- Cut 2026-28e net profit by 7-13%, extrapolating weaker sales momentum into 2027-28e forecasts
- Maintain Hold; lower TP by 9% to HKD124.40 (from HKD136.50), reflecting downward EPS revisions

3Q26 preview: Slower stabilisation than expected: Our earlier downgrade to Hold reflected limited earnings visibility amid the correction in Labubu demand, with our forecasts assuming sales would stabilise around 1H26 levels. Ahead of Pop Mart's 3Q26 results on 27 October, we now expect a slower stabilisation than previously anticipated. We forecast 3Q26 revenue to decline 41% y-o-y, 4% below our previous estimate, primarily driven by weaker PRC sales, which we now expect to decline 5% q-o-q versus our previous assumption of flat sequential sales. This implies a 17% y-o-y decline, compared with 16% growth in 2Q26. Overseas revenue remains broadly in line with our previous forecast but is expected to fall 67% y-o-y, reflecting continued weakness across regions. Overall, the weaker-than-expected PRC performance and subdued overseas demand suggest that the Labubu sales reset is taking longer than anticipated.

Earnings revisions: Weaker momentum weighs on 2027-28e outlook: We lower our 2026-28e revenue forecasts by 4%/8%/9%, reflecting weaker 3Q26 sales and a more conservative recovery trajectory. In particular, extrapolating the weaker sales momentum into 2027-28e leads us to reduce our PRC revenue forecasts by 7%/8% and overseas forecasts by 12%/11%. Our revised forecasts imply a 2026-28e revenue CAGR of 13%, down from 16% previously. While gross margins remain broadly resilient at c70%, lower sales lead to operating deleverage, prompting us to cut 2026-28e net profit forecasts by 7%/12%/13% to RMB9.7bn/11.4bn/13.2bn. This lowers our 2026-28e net profit CAGR to 17% from 20% previously, with our 2026-28e earnings estimates now 12%/11%/10% below consensus.

Limited earnings catalysts and unattractive dividend yield: We maintain our Hold rating as we think the current valuation increasingly reflects the Labubu earnings reset, but weak sales momentum and limited earnings visibility constrain re-rating potential. Based on our estimates, the stock trades at 15.5x 2026e and 13.2x 2027e P/E, below its historical average of 22.5x. However, with a minimum dividend payout policy of 20% (25% in 2025), the implied dividend yield of c.1.6-1.9% in 2026e/27e remains unattractive at current valuations. Despite its strong net cash position, we see limited upside until Labubu sales and earnings momentum show clearer signs of recovery.

Maintain Hold; lower TP to HKD124.40 (from HKD136.50): We retain our target PE of 13.3x, based on 1.2x s.d. below the updated average 1-year forward PE since 2023, alongside a 10% cut to our 1-year forward EPS. This lowers our TP by 9%. We need clearer evidence of a sustainable recovery in Labubu demand and earnings momentum to consider turning to a more constructive stance on its stock.

MAINTAIN HOLD

TARGET PRICE (HKD)	PREVIOUS TARGET (HKD)
124.40	**136.50**
SHARE PRICE (HKD)	**UPSIDE/DOWNSIDE**
136.40 (as of 20 Oct 2026)	**-8.8%**

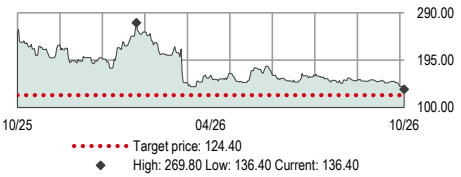
MARKET DATA

Market cap (HKDm)	181,655	Free float	50%
Market cap (USDm)	23,145	BBG	9992 HK
3m ADTV (USDm)	164	RIC	9992.HK

FINANCIALS AND RATIOS (CNY)

Year to	12/2025a	12/2026e	12/2027e	12/2028e
HSBC EPS	9.81	7.47	8.80	10.11
HSBC EPS (prev)	9.81	8.05	9.97	11.54
Change (%)	0.0	-7.2	-11.7	-12.4
Consensus EPS	9.45	8.39	9.71	10.97
PE (x)	11.8	15.5	13.2	11.5
Dividend yield (%)	2.1	1.6	1.9	2.1
EV/EBITDA (x)	7.9	9.0	7.5	5.9
ROE (%)	79.4	38.3	34.6	31.2

52-WEEK PRICE (HKD)



Source: LSEG IBES, HSBC estimates

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Financials & valuation: Pop Mart

Hold

Financial statements

Year to	12/2025a	12/2026e	12/2027e	12/2028e
Profit & loss summary (CNYm)				
Revenue	37,120	33,223	36,998	42,476
EBITDA	17,438	14,159	15,888	18,278
Depreciation & amortisation	-1,118	-1,698	-1,945	-2,199
Operating profit/EBIT	16,890	12,992	15,370	17,700
Net interest	76	32	10	-14
PBT	17,037	13,083	15,440	17,745
HSBC PBT	17,037	13,083	15,440	17,745
Taxation	-4,025	-3,271	-3,860	-4,436
Net profit	12,776	9,687	11,448	13,171
HSBC net profit	13,084	9,923	11,691	13,420
Cash flow summary (CNYm)				
Cash flow from operations	10,865	13,427	13,189	15,085
Capex	-1,172	-1,226	-1,226	-1,226
Cash flow from investment	-1,032	-1,226	-1,226	-1,226
Dividends	-1,083	-2,433	-2,873	-3,304
Change in net debt	-7,582	-9,768	-9,090	-10,556
FCF equity	9,694	12,201	11,963	13,859
Balance sheet summary (CNYm)				
Intangible fixed assets	209	205	201	198
Tangible fixed assets	6,722	8,854	10,030	11,146
Current assets	24,915	32,703	42,463	53,741
Cash & others	17,228	26,996	36,086	46,642
Total assets	31,845	41,762	52,694	65,085
Operating liabilities	9,449	11,986	14,212	16,597
Gross debt	0	0	0	0
Net debt	-17,228	-26,996	-36,086	-46,642
Shareholders' funds	22,278	29,532	38,107	47,974
Invested capital	5,168	2,780	2,396	1,846

Ratio, growth and per share analysis

Year to	12/2025a	12/2026e	12/2027e	12/2028e
Y-o-y % change				
Revenue	184.7	-10.5	11.4	14.8
EBITDA	285.7	-18.8	12.2	15.0
Operating profit	306.6	-23.1	18.3	15.2
PBT	290.2	-23.2	18.0	14.9
HSBC EPS	284.1	-23.9	17.8	14.8
Ratios (%)				
Revenue/IC (x)	11.6	8.4	14.3	20.0
ROIC	392.1	237.7	407.9	573.3
ROE	79.4	38.3	34.6	31.2
ROA	56.0	27.0	24.8	22.9
EBITDA margin	47.0	42.6	42.9	43.0
Operating profit margin	45.5	39.1	41.5	41.7
EBITDA/net interest (x)				1291.4
Net debt/equity	-76.1	-89.9	-93.2	-95.7
Net debt/EBITDA (x)	-1.0	-1.9	-2.3	-2.6
CF from operations/net debt				
Per share data (CNY)				
EPS Rep (diluted)	9.58	7.30	8.62	9.92
HSBC EPS (diluted)	9.81	7.47	8.80	10.11
DPS	2.38	1.83	2.17	2.49
Book value	16.59	21.99	28.38	35.72

Key forecast drivers

Year to	12/2025a	12/2026e	12/2027e	12/2028e
PRC Revenue YoY by channel	135	13	13	12
Overseas Revenue YoY by channel	292	-41	8	21
Total number of stores	3,267	3,381	3,556	3,736
Average revenue per store	30	26	26	27
GPM	72	70	70	70
OPM	46	39	42	42

Valuation data

Year to	12/2025a	12/2026e	12/2027e	12/2028e
EV/sales	3.7	3.8	3.2	2.5
EV/EBITDA	7.9	9.0	7.5	5.9
EV/IC	26.6	45.9	49.4	58.5
PE*	11.8	15.5	13.2	11.5
PB	7.0	5.3	4.1	3.2
FCF yield (%)	6.3	7.9	7.7	9.0
Dividend yield (%)	2.1	1.6	1.9	2.1

* Based on HSBC EPS (diluted)

ESG metrics

Environmental Indicators	12/2025a
GHG emission intensity*	1.9
Energy intensity*	3.5
CO_2 reduction policy	Yes
Social Indicators	**12/2025a**
Employee costs as % of revenues	6.1
Employee turnover (%)	35.7
Diversity policy	Yes

Governance Indicators	12/2025a
No. of board members	9
Average board tenure (years)	4.2
Female board members (%)	11.1
Board members independence (%)	33.3

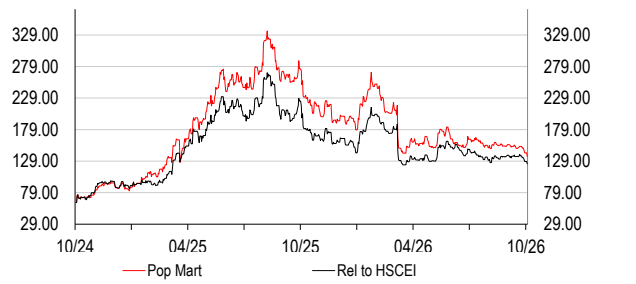
Source: Company data, HSBC

* GHG intensity and energy intensity are measured in kg and kWh respectively against revenue in USD '000s

Issuer information

Share price (HKD)	136.40	Free float	50%
Target price (HKD)	124.40	Sector	Specialty Retail
RIC (Equity)	9992.HK	Country/Region	China
Bloomberg (Equity)	9992 HK	Analyst	Lina Yan, CFA
Market cap (USDm)	23,145	Contact	+852 2822 4344

Price relative



Source: HSBC

Note: Priced at close of 20 Oct 2026

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A longer road to stabilisation

- We expect weaker-than-anticipated PRC sales in 3Q26, while overseas trends remain subdued, suggesting a slower recovery
- Cut 2026-28e net profit by 7-13%, extrapolating weaker sales momentum into 2027-28e forecasts
- Maintain Hold; lower TP by 9% to HKD124.40 (from HKD136.50), reflecting downward EPS revisions amid limited earnings visibility

Quarterly revenue review and forecasts

Figure 1. Quarterly revenue review and forecasts

	1Q26a	2Q26a	3Q26e-old	3Q26e-new	%Diff	4Q26e	2026e
Reported Overall revenue	**9,007**	**8,166**	**8,262**	**7,919**	**-4.2%**	**8,170**	**33,223**
YoY%	75.9%	-6.7%	-38.3%	-40.9%		-17.0%	-10.5%
QoQ%	-8.5%	-9.3%	1.2%	-3.0%		3.2%	
- PRC	**6,056**	**6,145**	**6,145**	**5,820**	**-5.3%**	**5,616**	**23,637**
YoY%	102.5%	16.1%	-12.2%	-16.9%		0.9%	13.4%
QoQ%	8.8%	1.5%	0.0%	-5.3%		-3.5%	
- Overseas	**2,951**	**2,021**	**2,117**	**2,099**	**-0.9%**	**2,555**	**9,586**
YoY%	38.5%	-41.6%	-66.9%	-67.2%		-40.3%	-41.1%
Asia Pacific	1,807	768	845	806	-4.5%	1,194	4,575
YoY%	27.5%	-46.4%	-75.0%	-76.2%		-32.9%	-42.9%
QoQ%	1.6%	-57.5%	10.0%	5.0%		48.1%	
Americas	906	986	1,005	1,025	2.0%	1,078	3,956
YoY%	60.0%	-42.0%	-61.3%	-60.6%		-44.4%	-41.9%
QoQ%	-53.3%	8.8%	2.0%	4.0%		5.2%	
Europe and other regions	238	267	267	267	0.0%	283	1,056
YoY%	62.5%	-19.2%	-35.0%	-35.0%		-49.7%	-27.2%
QoQ%	-57.6%	12.3%	0.0%	0.0%		5.6%	

Source: Company data, HSBC estimates

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Earnings revisions

We cut our 2026e net profit forecast by 7.3% to RMB9.7bn, primarily reflecting weaker-than-expected PRC sales in 3Q26 and continued subdued overseas demand in 2H26. Extrapolating the weaker sales momentum into 2027-28e, we lower our revenue forecasts by 8.4%/8.9% and net profit estimates by 11.9%/12.6%, respectively. Our revised forecasts imply a 2026-28e revenue CAGR of 13.1%, down from 16.0% previously, with PRC and overseas sales growing at 12.5% and 14.4%, respectively. Despite broadly stable gross margins of c70%, slower sales growth and operating deleverage lead us to lower our 2026-28e operating margin assumptions. Consequently, our revised forecasts imply a 2026-28e net profit CAGR of 16.6%, down from 20.1% previously, reflecting a more gradual earnings recovery than previously anticipated.

Figure 2. Earnings estimates revision summary

RMBm	2026e			2027e			2028e			CAGR (2026-28e)	
	Old	New	%Diff	Old	New	%Diff	Old	New	%Diff	Old	New
Revenue	**34,639**	**33,223**	**-4.1%**	**40,370**	**36,998**	**-8.4%**	**46,640**	**42,476**	**-8.9%**	**16.0%**	**13.1%**
YoY%	-6.7%	-10.5%		16.5%	11.4%		15.5%	14.8%			
- PRC	25,043	23,637	-5.6%	28,580	26,607	-6.9%	32,555	29,932	-8.1%	14.0%	12.5%
YoY%	20.1%	13.4%		14.1%	12.6%		13.9%	12.5%			
- Overseas	9,596	9,586	-0.1%	11,790	10,391	-11.9%	14,085	12,543	-10.9%	21.1%	14.4%
YoY%	-41.0%	-41.1%		22.9%	8.4%		19.5%	20.7%			
Gross profit	**24,101**	**23,145**	**-4.0%**	**28,171**	**25,736**	**-8.6%**	**32,611**	**29,629**	**-9.1%**	**16.3%**	**13.1%**
YoY%	-10.0%	-13.5%		16.9%	11.2%		15.8%	15.1%			
GPM	69.6%	69.7%		69.8%	69.6%		69.9%	69.8%			
Total SG&A	(9,847)	(9,739)	-1.1%	(11,287)	(10,683)	-5.4%	(12,958)	(12,269)	-5.3%	14.7%	12.2%
EBIT (GP - SG&A)	**14,254**	**13,406**	**-5.9%**	**16,885**	**15,053**	**-10.8%**	**19,653**	**17,360**	**-11.7%**	**17.4%**	**13.8%**
YoY%	-15.7%	-20.7%		18.5%	12.3%		16.4%	15.3%			
EBIT Margin	41.1%	40.4%		41.8%	40.7%		42.1%	40.9%			
Operating profit	**14,020**	**12,992**	**-7.3%**	**17,405**	**15,370**	**-11.7%**	**20,206**	**17,700**	**-12.4%**	**20.1%**	**16.7%**
YoY%	-17.0%	-23.1%		24.1%	18.3%		16.1%	15.2%			
- PRC	13,163	12,346	-6.2%	15,128	13,949	-7.8%	17,341	15,785	-9.0%		
- Overseas	2,874	2,843	-1.1%	3,630	2,977	-18.0%	4,279	3,542	-17.2%		
- Unallocated expenses and other gains/losses	(2,018)	(2,198)	8.9%	(1,353)	(1,556)	15.0%	(1,413)	(1,627)	15.1%		
OP Margin	40.5%	39.1%		43.1%	41.5%		43.3%	41.7%			
- PRC	52.6%	52.2%		52.9%	52.4%		53.3%	52.7%			
- Overseas	30.0%	29.7%		30.8%	28.7%		30.4%	28.2%			
Finance expenses – net	24	32		(9)	10		(34)	(14)			
Share of (loss)/profit of investments	59	59		59	59		59	59			
PBT	**14,103**	**13,083**	**-7.2%**	**17,455**	**15,440**	**-11.5%**	**20,232**	**17,745**	**-12.3%**	**19.8%**	**16.5%**
Effective Tax Rate	-25.0%	-25.0%		-24.8%	-25.0%		-24.8%	-25.0%			
Minority Interest	125	125		132	132		138	138			
Attributable Net profit	**10,452**	**9,687**	**-7.3%**	**12,994**	**11,448**	**-11.9%**	**15,076**	**13,171**	**-12.6%**	**20.1%**	**16.6%**
YoY%	-18.2%	-24.2%		24.3%	18.2%		16.0%	15.0%			
Net Margin	30.2%	29.2%		32.2%	30.9%		32.3%	31.0%			
Non-IFRS Adjusted Net profit	**10,688**	**9,923**	**-7.2%**	**13,237**	**11,691**	**-11.7%**	**15,325**	**13,420**	**-12.4%**	**19.7%**	**16.3%**
YoY%	-18.3%	-24.2%		23.8%	17.8%		15.8%	14.8%			
Adjusted Net Margin	30.9%	29.9%		32.8%	31.6%		32.9%	31.6%			

Source: HSBC estimates

Our 2026-28e net profit are 11.9%/11.3%/9.6% below consensus, respectively, while our revenue estimates are 9.9%/10.6%/8.7% below.

Figure 3. HSBC vs Consensus

	2026e			2027e			2028e		
RMBm	HSBC estimates	Consensus	% diff	HSBC estimates	Consensus	% diff	HSBC estimates	Consensus	% diff
Net revenue	33,223	36,889	-9.9%	36,998	41,401	-10.6%	42,476	46,536	-8.7%
Operating profit	12,992	14,194	-8.5%	15,370	17,193	-10.6%	17,700	19,023	-7.0%
Net profit	9,687	10,997	-11.9%	11,448	12,901	-11.3%	13,171	14,577	-9.6%

Source: LSEG Datastream, HSBC estimates

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Valuation and risks

Figure 4. PE-based valuation summary

Target PE	Old	New	% Diff
Target PE multiple	**13.3**	**13.3**	**0.1%**
- Average 1 year forward PE since 2023	23.0	22.5	
High	45.4	45.6	
Low	10.1	10.1	
- 1x s.d.	7.5	7.7	
1-year forward EPS (RMB)	**8.84**	**7.97**	**-9.9%**
HKD:RMB X-rate	1.17	1.18	1.1%
Target price (HKD)	**136.50**	**124.40**	**-8.9%**

Source: Bloomberg, HSBC estimates

Valuation and risks

Pop Mart
9992 HK

Hold

Current price:
HKD136.40

Target price:
HKD124.40

Up/downside:
-8.8%

Valuation

Methodology: PE-based methodology.

Assumptions: We are applying an unchanged target PE of 13.3x, equivalent to 1.2x (previously 1.3x) standard deviations below the average one-year forward PE since 2023, to reflect the persistent earnings risk from re-basing of its Labubu products. We apply this to our 1-yr forward EPS of RMB7.97 (from RMB8.84). We also use the latest end-2026 RMB-HKD forecast of 1.18 (from 1.17) from HSBC Global Investment Research's FX team.

Our new target price of HKD124.40 (from HKD136.50) implies c9% downside from the current share price. We maintain our Hold rating on the stock as we believe company buybacks could support share prices. It has spent HKD1,740m YTD, or 11.2m shares, equivalent to 0.8% of its total shares outstanding. The company has net cash of RMB13,962m or 8% of its current market cap as of June end.

Risks to our view

Downside risks

- Overseas growth momentum to slow down worse than expected
- Overseas margin might be at risk due to weaker sales and fixed cost structure
- Worse-than-expected retail discount
- Inability to renew exclusive license agreements with cooperating artists for its major IP
- Misallocation of capital from entering new businesses or acquisitions with low returns

Upside risks

- Gaining traction with its new IP product or new categories
- Overseas momentum improves, leading to improved earnings outlook for the group
- The company boosts its shareholder returns

Priced at 20 Oct 2026
Source: HSBC estimates

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Disclosure appendix

Analyst Certification

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Important disclosures

Equities: Stock ratings and basis for financial analysis

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HSBC assigns ratings on the following basis:

The target price is based on the analyst's assessment of the stock's actual current value, although we expect it to take six to 12 months for the market price to reflect this. When the target price is more than 20% above the current share price, the stock will be classified as a Buy; when it is between 5% and 20% above the current share price, the stock may be classified as a Buy or a Hold; when it is between 5% below and 5% above the current share price, the stock will be classified as a Hold; when it is between 5% and 20% below the current share price, the stock may be classified as a Hold or a Reduce; and when it is more than 20% below the current share price, the stock will be classified as a Reduce.

Our ratings are re-calibrated against these bands at the time of any 'material change' (initiation or resumption of coverage, change in target price or estimates).

Upside/Downside is the percentage difference between the target price and the share price.

Rating distribution for long-term investment opportunities

As of 30 September 2026, the distribution of all independent ratings published by HSBC is as follows:

Buy	60%	(12% of these provided with Investment Banking Services in the past 12 months)
Hold	35%	(12% of these provided with Investment Banking Services in the past 12 months)
Sell	4%	(10% of these provided with Investment Banking Services in the past 12 months)

For the purposes of the distribution above the following mapping structure is used under our current model Buy = Buy, Hold = Hold and Reduce = Sell. For rating definitions please see "Stock ratings and basis for financial analysis" above.

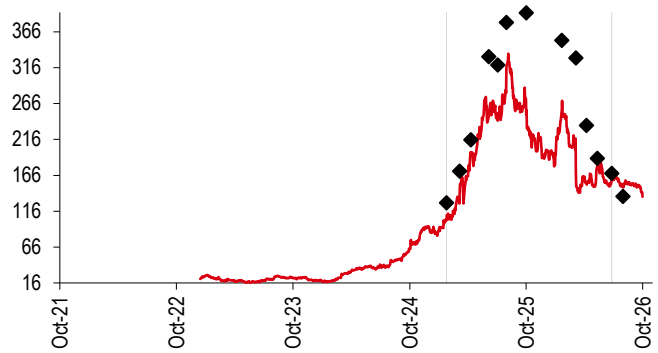
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Share price and rating changes for long-term investment opportunities

Pop Mart (9992.HK) share price performance HKD Vs HSBC rating history



Source: HSBC

Rating & target price history

From	To	Date	Analyst
Buy	Buy	13 Feb 2025	Lina Yan, CFA
Hold	Hold	16 Jul 2026	Lina Yan, CFA
Target price	**Value**	**Date**	**Analyst**
Price 1	127.65	13 Feb 2025	Lina Yan, CFA
Price 2	172.00	26 Mar 2025	Lina Yan, CFA
Price 3	215.50	30 Apr 2025	Lina Yan, CFA
Price 4	331.50	25 Jun 2025	Lina Yan, CFA
Price 5	319.50	23 Jul 2025	Lina Yan, CFA
Price 6	379.00	20 Aug 2025	Lina Yan, CFA
Price 7	392.50	21 Oct 2025	Lina Yan, CFA
Price 8	354.00	09 Feb 2026	Lina Yan, CFA
Price 9	329.50	25 Mar 2026	Lina Yan, CFA
Price 10	235.50	27 Apr 2026	Lina Yan, CFA
Price 11	189.50	01 Jun 2026	Lina Yan, CFA
Price 12	168.90	16 Jul 2026	Lina Yan, CFA
Price 13	136.50	20 Aug 2026	Lina Yan, CFA

Source: HSBC

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Disclosure checklist

Company	Ticker	Recent price	Price date	Disclosure
POP MART	9992.HK	136.40	20 Oct 2026	4, 11

Source: HSBC

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